

adopting split grinding units, the company brought production closer to the market, cutting transport costs and expanding its reach. Many of these initiatives were new to the industry. Competition followed over time.

If all these strategies made Shree an exception as a company, nothing has perhaps been more surprising than the decision to grow organically at a time when mergers and acquisitions (M&As) in the sector have reached an unprecedented high. An ambitious expansion and bringing in a professional CEO to lead the next round of growth are the other big developments laying the base for a transformation of Shree Cement.

BREAKING DOWN STRATEGY

From the scorching, dry notherwestern sun, the scene shifts to the humid eastern sun, as we prepare to meet Hari Mohan Bangur, Chairman of Shree Cement, at his office in Kolkata's Strand Road. The large and modern structure stands in stark contrast to the location, marked by history and dotted with much older structures.

Bangur, who has seen many ups and downs in his long career, explains the opportunity in India's cement industry. "The per capita consumption (of cement) globally is 550 kg, and India is at 330 kg. Indian cement industry will double in the next decade, and that makes it exciting," he tells *Business Today*.

Overall, Shree has grown around 1.2x the industry average, which has a compound annual growth rate of 5-7%. "We benchmark ourselves against the industry and not individual players. Some will grow faster, but we choose to remain patient," he says. A key component of his strategy is to create capacity in advance.

This is in stark contrast to what competitors such as UltraTech and Ambuja ACC are doing—buying assets and increasing market share.

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CEMENTING SUCCESS

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In 2022, the cement industry saw its biggest M&A deal ever when the Adani Group acquired Ambuja Cements and ACC from Switzerland's Holcim for \$10.9 billion. It gave the buyer, till then a name in ports, power, shipping, airports and natural gas, a big foothold in cement, and made it the second-largest player after UltraTech. Since then, both Ambuja and UltraTech have been actively picking up assets across regions. The former bought Sanghi, Penna, and Orient, while the latter acquired Kesoram Industries, India Cement, and, most recently, a minority stake in Star Cement.

Bangur, reflecting on the scenario today, weighs his words carefully. "There is a lot of consolidation, and it was to be expected with the entry of a new player." He reflects on how the situation in the cement industry today is similar to what happened at the turn of the century when global biggies Lafarge, CRH, Holcim, Heidelberg, Italcementi, and Vicat bought into or completely acquired Indian companies. Around 40% of the capacity was owned by European companies at one point. "Many have exited, and it is clear that the Indian players will never be irrelevant. They have only become larger and sturdier," he says.

Global companies failed to understand the complexities of the Indian market. They also suffered due to slow decision-making, cost control issues, and viewing India as one large homogeneous market. In contrast, Indian companies were far more agile and responsive to local complexities.

According to Bangur, an understanding of these helped the company in withstanding global competition then. The company has a captive thermal power plant of 503 MW and another 522 MW of renewable power (solar and wind) capacity, making it not